

Balance Sheet Flow Diagram: How Assets and Liabilities Move Through the Enterprise



1. Operational Source System

Procurement, capital projects, WMS, MES, payroll, billing

Goods receipts, asset acquisitions, inventory movements, payroll accruals

Vendor invoices, customer invoices, contract obligations



2. Financial Subledgers

Fixed assets: capitalization, depreciation, retirements

Inventory: valuation (FIFO/LIFO/weighted avg), WIP

AR: receivables, allowances, write-offs

AP: vendor liabilities, accruals, payment clearing

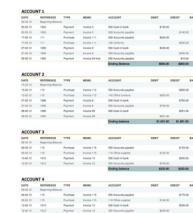


3. ERP General Ledger

COA mapping, cost center alignment, period-close

Posting validations, subledger-GL Reconciliation

Consolidated asset & liability balances



4. Balance Sheet Output

Cash, AR, inventory, prepaids, fixed assets, ROU assets

AP, accrued liabilities, deferred revenue, debt

Working capital and liquidity metrics

Represents Data Flow

1

Activity Data (OSS→Financial Subledger Valuation)

2

Event Mapping (Financial Subledger Valuation→COA Mapping)

3

Subledger-GL Integration (COA Mapping→ERP)

4

Balance Sheet Output (ERP→Financial Statement Reporting)

Control + Data Quality Points

- Operational Events
- Accounting Rules
- GL Posting
- Financial Statement Reporting